CHEAT SHEET UTS · WEEKS 1–8

MK 3 · Marketing Management

Don't mix these up

- Needs → wants → demands (want + buying power). Marketing concept = outside-in; selling concept = inside-out.
- BCG = portfolio (star, cash cow, question mark, dog). Ansoff = growth direction product × market.
- Full VRIO = sustained advantage; V+R only = temporary; V only = parity.
- Buying behaviour: complex (high involvement, big differences), dissonance-reducing, variety-seeking, habitual.
- Line filling = within range; stretching = beyond it. PoP = category requirement; PoD = reason to choose us.
- Services: IHIPN; 7Ps = 4Ps + Process, Physical environment, People. Search (before) · Experience (during/after) · Credence (hard to judge).

W1 Marketing Foundations: Creating Customer Value & Company Strategy

What is marketing? · Needs, wants, demands · Five marketing management orientations · Value, satisfaction and customer relationships · Marketing's role in company strategy · Marketing strategy: STP and the marketing mix · The 5–step marketing process: create value, then capture it · Satisfaction and loyalty: why 'satisfied' isn't enough · Two corporate strategy tools: Ansoff and BCG

- Marketing creates value and relationships to capture value.
- Core questions: whom to serve and with what value proposition.
- Needs → wants → demands (wants + buying power).
- Marketing (outside-in) vs selling (inside-out); societal concept adds long-term well-being.
- Perceived value = benefits – costs; satisfaction = performance vs expectations.
- Market-oriented missions; BCG for portfolio, Ansoff for growth.
- STP + 4P/4C/7P; measure with ROMI.

FORMULAS

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Customer-perceived value = Perceived benefits - Perceived costs
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Customer-perceived value = Total benefits - Total costs
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W2 Analyzing the Marketing Environment: Good Strategy, VRIO & 5C

What is good strategy? · VRIO: from resources to competitive advantage · Situation analysis and the 5Cs · VRIO as a decision tree · Northeast Brazil consumer data charted

- Good strategy = diagnosis + guiding policy + coherent actions.
- Advantage = solutions + meaningful experience that's hard to copy.
- VRIO: Valuable, Rare, Inimitable, Organized — all four = sustained advantage.
- 5Cs: Company, Collaborators, Customers, Competitors, Climate.
- Understand real behaviour through field research.
- Break-even cannibalization = new margin ÷ cannibalized margin.
- Low-income markets need a redesigned mix, not a shrunken premium product.

FORMULAS

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Break-even cannibalisation = new margin ÷ cannibalised margin
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W3 Consumer Behavior & Customer Value

The buyer's black box · Four groups of influencing factors · Four buying behaviors and five decision stages · Perceived value, satisfaction, theories of choice & use · Adopting new products · The buyer decision process as a funnel · The UNVR case in numbers

- Black box: stimuli → characteristics & process → responses.
- Four factors: cultural, social, personal, psychological; self-concept.
- Four behaviors: complex, dissonance-reducing, variety-seeking, habitual.
- Five stages: need → search → evaluation → purchase → post-purchase.
- Perceived value = total value – total cost.
- Adoption speeds up with advantage, compatibility, simplicity, divisibility, communicability.
- Mass consumers budget per wash; sachets give access despite higher cost per wash.

FORMULAS

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Perceived value = Total customer value
- Total customer cost (money, time,
energy, psychic)
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W4 Business Markets (B2B) & Business Buyer Behavior

What business markets are and how they differ · The buying center: who's involved · Influences, buying situations and process · The B2B Elements of Value (Almquist et al., HBR 2018) · The buying center in an EPC tender: who holds which vote · The B2B Elements of Value pyramid

- B2B: few large buyers; derived, inelastic, fluctuating demand.
- Buying center: users, influencers, buyers, deciders, gatekeepers.
- Influences: environmental, organizational, interpersonal, individual.
- Situations: straight rebuy, modified rebuy, new task.
- B2B elements: table stakes → functional → ease of business → individual → inspirational.
- B2B decisions are emotional too: reduce anxiety, protect reputations.
- When a supplier is in doubt, reduced risk and stability beat technical skill.

W5 Marketing Research & Customer Insight

Customer insight and market insight · The six-step marketing research process · Primary vs secondary, qualitative vs quantitative · Sampling and data analysis · Three research designs and when to use them · How many respondents? Margin of error charted

- Insight = the actionable "why" behind data.
- Information ecosystem = collect–analyze–act–feedback loop.
- Competitive intelligence is useful but must be ethical.
- Separate the management decision problem from the research problem.
- Designs: exploratory, descriptive, causal.
- Check secondary data first; primary data is specific but costly.
- Probability vs non-probability sampling; descriptive to prescriptive analysis.

FORMULAS

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MoE (95%, p = 50%) ≈ 1.96 × √(0.25 ÷ n)
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W6 STP Strategy: Segmentation, Targeting & Positioning

Segmentation: bases for dividing markets · Targeting: choosing whom to serve · Differentiation & positioning · Ollie vs Mary: valuing segments with numbers · Perceptual maps for positioning

- STP: segmentation → targeting → differentiation & positioning.
- Bases: geographic, demographic, psychographic, behavioral, hybrid.
- Effective segments are MASAD.
- Targeting: undifferentiated, differentiated, concentrated, micromarketing.
- Positioning is relative perception; use perceptual maps.
- Promote advantages that are important, distinctive, superior, communicable, preemptive, affordable, profitable.
- PoD vs PoP; statement: For… (brand) is… that…

FORMULAS

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For (target & need), (brand) is (concept) that (point of difference).
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To [target] who [need], [brand] is the [category] that [difference] because [reason to believe].
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W7 Marketing Mix — Product: Levels, New Product Development & Life Cycle

Products and their three levels · Product classifications · Individual, line and mix decisions · New product development (NPD) · The product life cycle (PLC) · The three product levels as rings · The PLC curve: sales and profit don't move together

- Product levels: core value, actual, augmented.
- Convenience, shopping, specialty, unsought — drive distribution and price.
- Line filling (within range) vs stretching (beyond range).
- Mix: width, length, depth, consistency.
- New products: acquire vs develop; eight NPD stages; ~60% fail.
- PLC: introduction → growth → maturity → decline; in maturity modify market, product or mix.
- When everyone meets a requirement (e.g. halal), a PoD becomes a PoP.

W8 Marketing Mix — Services: Service Characteristics, the 7Ps & Customer Experience

What is a service? · The five service characteristics and how to handle them · The services marketing mix: from 4Ps to 7Ps · Who provides services? · Search, experience, credence: why services are hard to judge · The three-stage model of service consumption · The service experience as theatre · The Gaps Model of service quality · The service profit chain and three types of services marketing · The evaluation continuum: from easy to hard to judge · The zone of tolerance in numbers

- A service is an intangible act or performance that results in no ownership.
- Five service traits: intangibility, heterogeneity, inseparability, perishability, non-ownership.
- The services mix: 7Ps = 4Ps + Process, Physical environment (servicescape), People.
- Goods lean to search qualities; services lean to experience and credence qualities.
- Three stages of service consumption: pre-purchase → service encounter → post-encounter.
- The zone of tolerance lies between adequate and desired service.
- Gaps Model: the Customer Gap comes from the Listening, Design, Delivery and Communications Gaps.
- Service profit chain: satisfied staff → service value → loyal customers → profit; internal, external and interactive marketing.